# The Shadow Price of Neutrality

TODO(Isaiah): author

***Abstract*—TODO(Isaiah), Abstract, 0.2 page (claim → evidence):**

- **Problem: a long/short pod under a platform's neutrality mandate at a fixed 3%/yr risk budget → Sec. II.**
- **Approach: duals of the convex program at a root-found $\lambda^*$; three integer sensitivity estimators against certified secant intervals; big-M against perspective formulations → Sec. III.**
- **Q1 finding: the liquidity cap, sector bounds and trading costs carry the cost; factor neutrality is nearly free for $\alpha_{\text{mom}}$; at zero, sector and all-style neutrality cost about the same → 0.16, 0.014, 0.16, 0.961 against 0.956, 0.964; Figs. 1–2.**
- **Q2 finding: the fixed-integer dual is exact when neither the support nor the active set changes within the step (max error $6.7 \times 10^{-12}$) and lies in $[L, H]$ in 4 of 23 binding cases; the best estimator depends on the step: at 2017-12 ($n = 11$) the fixed-integer dual is best at $\delta = 5\%$ (0.014; perspective 0.052, big-M 0.24) and the perspective slope at 10% (0.016 against 0.023; big-M 0.073) → Table III.**
- **Q3 finding: two mechanisms. The default-scaling root bound is consistent with Gurobi's outer approximation stopping early (29 of 36; 0.015 against $5.7 \times 10^{-4}$ with a QCP node relaxation); the cone tolerance inflates incumbents ($6.4 \times 10^{-3}$). The rescaled formulation (rows and cones rescaled together) removes both; presolve, not the formulation, closes big-M's gap → $3.3 \times 10^{-4}$, 0.015, $6.0 \times 10^{-4}$ against 0.057; Fig. 4.**

## I. Introduction

A multi-manager platform allocates capital to long/short equity teams (pods). To keep one pod's risk off the others' books, it caps each pod's volatility (3%/yr here) and imposes a neutrality mandate on its dollar, beta, style and sector exposures. A binding rule costs the pod expected alpha, which the platform reads from the rule's dual variable; in a convex program the reading is exact where the dual is unique. Limits on how many names the book holds and how small a held position may be make the program mixed-integer, and a continuous dual can then misstate a rule's marginal cost (Sec. IV-B).

Clarke, de Silva and Thorley measure with a transfer coefficient how constraints dilute an alpha forecast [1], building on Grinold and Kahn's framework [2], and Stubbs and Vandenbussche attribute a portfolio to its constraints through their duals [3]. Misaligned risk and alpha factors distort optimized portfolios [4], [5]. Related models treat realistic shorts [6] and sparse portfolios [7]. Perspective cuts and reformulations strengthen mixed-integer programs with indicator variables, including portfolios with position thresholds [8], [9]. Geoffrion and Nauss survey postoptimality analysis for integer linear programs [10], and Wolsey shows that integer duality needs price functions rather than prices [11]; standard texts give the background [12], [13].

This paper prices each constraint by its own dual at a fixed risk budget, so costs compare at equal risk, and asks which constraints bind and what they cost (Q1), how well continuous tools predict marginal costs under integrality (Q2), and how the formulations and solver tolerances interact (Q3; Sec. II-G). It contributes: (i) costs at equal risk, with the closed form $\sqrt{1-\varphi}$ for the alpha kept under full factor neutrality ($\varphi$: the factors' share of the alpha's squared information ratio); under idealized neutrality the momentum alpha keeps at least 0.964 ($n = 12$ dates), and at the base mandate the cost comes from the position and liquidity caps and the trading and borrow costs; (ii) secant intervals certified by the solver's bounds (median relative width $3.6 \times 10^{-4}$, $n = 23$) that separate estimator error from solver error; (iii) when the fixed-integer dual (the dual with the incumbent's holdings fixed) is exact: error at most $6.7 \times 10^{-12}$ ($n = 7$) when neither the names held nor the active set changes within the step, median 0.056 ($n = 24$) when the holdings change; (iv) two default-scaling solver effects in the perspective model, kept apart: a root bound consistent with Gurobi choosing a polyhedral outer approximation of the cones (29 of 36 instances) that stops early (median root gap 0.015, against $5.7 \times 10^{-4}$ with conic node relaxations), and incumbents inflated by the cone tolerance (at default presolve, up to $6.4 \times 10^{-3}$ of the objective, against $1.9 \times 10^{-11}$ with rows and cones rescaled together). The study solves a single-period problem at each date on one universe and risk model, with no backtest or performance claim.

## II. Problem Setting

### A. Decision problem

A *pod* receives each month a forecast $\alpha_i$ of each stock's (*name*'s) *alpha*, its expected return beyond what its factor exposures explain, and chooses weights $w$ as fractions of AUM (assets under management, \$1B). The platform caps the *ex-ante volatility*, the risk model's forecast $\sqrt{w^\top \Sigma w}$ annualized, at 3%/yr ($\sigma_m = 3\%/\sqrt{12}$ per month) and imposes a mandate. The *factor exposure* is $y = B^\top w$, $B$ the loadings on the market and five styles (size SMB, value HML, profitability RMW, investment CMA, momentum Mom); *beta* is $y_{\text{mkt}}$. *Dollar*, *beta*, style and *sector neutrality* bound the net weight $|1^\top w|$, $|y_{\text{mkt}}|$, each $|y_k|$ and each $|S_j^\top w|$, $S_j$ the 0/1 indicator of GICS sector $j$ (11 sectors). *Gross leverage* $1^\top(w^+ + w^-)$ is the long plus the short weight. A stock's *ADV* is its median daily dollar volume over 63 trading days; with the position cap $u$, the *liquidity cap* (a fraction $\theta$ of ADV) gives $u_i = \min(u, \theta\,\text{ADV}_i/\text{AUM})$. Shorts pay a *borrow cost* $c$ per month (per year in Table I) and trades a one-way *trading cost* $\kappa$ (1 bp $= 0.01\%$); from cash ($w_0 = 0$) trading costs $\kappa$ times gross. Table I lists the base mandate.

### B. Data and risk model

Daily adjusted prices and volumes of the current S&P 500 constituents (500 tickers, 2005-01-04 to 2025-12-31) come from yfinance, sectors from the constituent list, and the daily Fama–French five factors, momentum and risk-free rate from the French library [14]–[16]. A day is valid for a stock with a return and a dollar volume of at least \$1M; a stock is *eligible* at a date if at least 80% of the 252 trading days ending there are valid. At each of the 241 month-ends (2005-12 to 2025-12) eligible stocks' daily *excess returns* (minus the risk-free rate) over that window are regressed on the six factors: $B$ holds the loadings, $D = \mathrm{diag}(d)$ the residual variances and $F$ the sample factor covariance, both scaled by 21 trading days to monthly, with $d$ floored at its 5th cross-sectional percentile, so $\Sigma = BFB^\top + D \succ 0$. The eligible universe has 373–499 names.

### C. Alphas and alignment

The momentum score, each stock's return over the 252 trading days before the date skipping the last 21 (it exists at 240 of the 241 month-ends), is z-scored across eligible stocks, winsorized at $\pm 3$ and re-standardized; the alpha is $\alpha_i = \mathrm{IC} \cdot \omega_i z_i$ with information coefficient $\mathrm{IC} = 0.03$ and residual volatility $\omega_i = \sqrt{d_i}$ [2]. A $D^{-1}$-weighted regression of an alpha $\alpha$ on the loadings splits it into a residual $\alpha_\perp = \alpha - B(B^\top D^{-1} B)^{-1} B^\top D^{-1} \alpha$ and a factor-spanned part $\alpha_\parallel = \alpha - \alpha_\perp$. The *alignment share* $\varphi(\alpha) = \alpha_\parallel^\top \Sigma^{-1} \alpha_\parallel / \alpha^\top \Sigma^{-1} \alpha \in [0,1]$, on $\alpha$'s own, unrescaled split, is the factors' part of $\alpha^\top \Sigma^{-1} \alpha$, the squared *information ratio* (the best ratio of expected alpha to ex-ante risk); rescaling $\alpha$ leaves it unchanged. $\alpha_{\mathrm{mom}}$'s $\alpha_\perp$ and $\alpha_\parallel$, each rescaled to $\alpha_{\mathrm{mom}}$'s information ratio, also serve as signals. The *transfer coefficient* $\mathrm{TC} = \alpha^\top w / (\sqrt{\alpha^\top \Sigma^{-1} \alpha} \sqrt{w^\top \Sigma w})$ is the $\Sigma$-metric form of Clarke et al.'s [1].

### D. The convex problem P-RB

The risk-budget problem P-RB, with $w = w^+ - w^-$, $w^\pm \geq 0$, is

$$\begin{aligned} \max\ & \alpha^\top w - c\, 1^\top w^- - \kappa\, 1^\top (w^+ + w^-) \\ \text{s.t. } & y^\top F y + \textstyle\sum_i d_i w_i^2 \leq \sigma_m^2, \quad y = B^\top w, \\ & |1^\top w| \leq \varepsilon_{\mathrm{net}},\ |y_{\mathrm{mkt}}| \leq \varepsilon_\beta,\ |y_k| \leq b_k,\ |S_j^\top w| \leq h_j, \\ & 1^\top (w^+ + w^-) \leq G, \quad w_i^+, w_i^- \leq u_i. \end{aligned} \tag{1}$$

Since $c, \kappa > 0$, at most one of $w_i^\pm$ is positive at an optimum. The optimal value $A^*$ is net expected alpha per month. Row $k$ has multiplier $\mu_k$; a parameter $p$ (a bound, $u$ or $\theta$) has the *family dual* $\mu_p = dA^*/dp = \sum_k \mu_k \, \partial r_k / \partial p$ over the rows whose right-hand side $r_k$ moves with $p$ (A5): $\theta$ through every $\theta$-limited cap ($\partial u_i / \partial \theta = \mathrm{ADV}_i / \mathrm{AUM}$), $u$ through every cap equal to $u$, a common sector or all-styles bound through all its rows. A *key* is a parameter whose dual is reported: a family, or one sector's or style's row. The *elasticity* $e_p = \mu_p p / A^*$ ($A^* > 0$) is the percent change in alpha per percent change in $p$; a constraint *binds* if $e_p \geq 10^{-4}$. The risk row's multiplier $\lambda^*$ is the price of risk at which a mean-variance investor picks the same portfolio (A1). A fixed risk budget, not a fixed $\lambda$, compares costs at equal risk: relaxing a constraint cannot buy alpha by levering up.

### E. The integer problem P-MI

The mixed-integer problem P-MI adds a cardinality limit $K$ and a minimum position $\ell = 0.25\%$, moves the risk row into the objective at $\lambda^*$, and raises the position cap to $u = 6\%$:

$$\begin{aligned} \max\ & \alpha^\top w - \lambda^* \big( y^\top F y + \textstyle\sum_i d_i w_i^2 \big) \\ & \quad - c\, 1^\top w^- - \kappa\, 1^\top (w^+ + w^-) \\ \text{s.t. } & \text{the mandate of (1) without the risk row,} \\ & \ell z_i^\pm \leq w_i^\pm \leq u_i z_i^\pm,\ z_i^+ + z_i^- \leq 1,\ \textstyle\sum_i (z_i^+ + z_i^-) \leq K, \\ & z^\pm \in \{0,1\}^N. \end{aligned} \tag{2}$$

$\lambda^*$ is P-RB's multiplier on the same universe at the base mandate with $u = 6\%$, fixed for that date and universe: a Lagrangian relaxation of the risk row, with zero gap in the convex case. *Big-M* keeps $\sum_i d_i w_i^2$ with $M = u_i$; the *perspective* formulation replaces it by $\sum_i d_i q_i$ with rotated cones $w_i^2 \leq q_i \zeta_i$, $q_i \geq 0$, $\zeta_i = z_i^+ + z_i^-$; the *rescaled perspective* divides every weight, row and bound by $\max_i u_i$ and writes each cone in its name's bound, $t_i = w_i / u_i$, $q_i' = q_i / u_i^2$, $t_i^2 \leq q_i' \zeta_i$, which leaves the feasible set and objective unchanged but changes what Gurobi's absolute tolerances act on (A9). These are the three *arms* of N1–N3. With $\lambda^*$ fixed, P-MI's ex-ante volatility drifts: median 2.87%/yr in I1 (2.42–3.02, $n = 144$, 3 above the budget) and 2.77% in N1 (2.22–3.31, $n = 36$ per arm, 4 above), so Q2's slopes are of the risk-penalized objective. The *continuous baseline*, P-MI with $\ell = 0$ and no cardinality row, is mean-variance at $\lambda^*$: with the risk row binding it has P-RB's optimizer and constraint duals at the base point (A1), but the value $A^* - \lambda^* \sigma_m^2$.

### F. Problem classes

P-RB is a convex quadratically constrained program (QCQP); its risk row is the second-order cone $\|(L_F^\top y, \sqrt{d} \circ w)\|_2 \leq \sigma_m$ with $F = L_F L_F^\top$. When $\lambda^* > 0$ its optimal $w$ is unique: by A1, $w$ also maximizes the mean-variance objective at $\lambda = \lambda^*$ over the mandate, which is strictly concave in $w$ ($\Sigma \succ 0$, and the costs are convex and piecewise linear in $w$); the split $w^\pm$ is then unique because $c, \kappa > 0$. The big-M P-MI is a convex mixed-integer QP (every node relaxation a convex QP); the perspective P-MI is a mixed-integer second-order cone program.

### G. Questions

**Q1** (convex): at a fixed risk budget, which mandate constraints bind, what does each cost, and what determines that cost? **Q2** (integer): with a cardinality limit and a minimum position, how well do relaxation and fixed-integer duals predict a constraint's true marginal cost? **Q3** (formulation and numerics): how do the big-M and perspective formulations compare as the mandate tightens, and how do solver tolerances interact with problem scaling?

TABLE I
BASE MANDATE (P-RB) AND P-MI PARAMETERS; STYLE BOUNDS IN LOADING UNITS.

| Parameter | Base |
|---|---|
| Risk budget (ex-ante volatility) | 3%/yr |
| Gross leverage $G$ | 2 |
| Net (dollar) $\varepsilon_{\text{net}}$ | $\pm$2% |
| Beta $\varepsilon_\beta$ | $\pm$0.05 |
| Each style $b_k$ | $\pm$0.10 |
| Each sector $h_j$ (net) | $\pm$2% |
| Position cap $u$ (P-MI) | 3% (6%) |
| Liquidity $\theta$ | 5% of ADV |
| AUM | \$1B |
| Borrow $c$ | 30 bp/yr |
| Trading $\kappa$ (one-way) | 5 bp |
| Minimum position $\ell$ (P-MI) | 0.25% |

## III. SOLUTION APPROACH AND ANALYSIS

### A. Experiments

Table II defines the experiments: C1–C2 answer Q1, I1–I2 Q2, N1–N3 Q3. D12 is 12 month-ends (2008-10, 2009-03, 2011-08, 2013-06, 2015-08, 2017-12, 2018-12, 2020-03, 2020-11, 2022-06, 2023-03, 2025-04) spanning calm and stressed markets. C1's 72 idealized solves are two mandates $\times$ three alphas $\times$ 12 dates: (i) all six exposures zero, (ii) the same plus dollar neutrality, each with the risk budget only. C2 sweeps one family at a time, the others at base, over (off first): dollar 0.1, 0.05, 0.02, 0.01, 0; beta 0.2, 0.1, 0.05, 0.02, 0; each style and all styles 0.4, 0.2, 0.1, 0.05, 0.02, 0; sector 0.08, 0.04, 0.02, 0.01, 0; gross 4, 3, 2, 1.5, 1; $u$ 0.06, 0.03, 0.015; $\theta$ 0.1, 0.05, 0.025. $N$ counts names (top $N$ by ADV); $K = \text{round}(fS)$, half up, $S$ the support size of P-RB at $u = 6\%$. A rule fixed in a pilot run before the experiments chose the 4 I1 bounds: among the families with the largest median C1 elasticity at the I1 dates ($u$ and $\theta$ excluded: they set the big-M constants) and the Mom bound at 0.025, those certified binding (A8) at $f = 0.5$ on 2017-12.

### B. Algorithms

P-RB is solved as the mean-variance QP $\max \alpha^\top w - \lambda w^\top \Sigma w -$ costs by Gurobi's dual simplex (tolerances $10^{-9}$: a basic solution, its active set and duals exact up to them), with $\lambda$ root-found by Brent's method on $\log \lambda$ until volatility meets the budget to relative $10^{-10}$ (A1). Clarabel's primal–dual interior-point method [17] (tolerances $10^{-12}$) solves the cone form of (1) as a cross-check and the perspective relaxation of (2) ($z \in [0, 1]$), whose finite differences give its slope; dual simplex solves the big-M relaxation and the fixed-integer QP (P-MI with $z$ fixed at the incumbent). *Plain relaxations* are the $z \in [0, 1]$ relaxations solved outside the MIP, without its presolve or root cuts. Gurobi's branch and bound [18] stops when the relative gap is below *MIPGap* ($10^{-6}$ in I1, I2; $10^{-4}$ in N1, N2(a)) or its *Work*, a deterministic effort count, reaches $W^* = 340$ ($2W^*$ in I1, I2), the Work of 300 s at the pilot's median 1.12 units/s, to two significant figures; MIQCPMethod (cone handling at the nodes) stays at its default. The objective is multiplied by $s_{\text{obj}} = 10^4$, the power of ten that brings the pilot's proxies for $|U^*|$ (the mean-variance value at $\lambda^*$ on each I1 and N1 universe) to 9.1–21; values are reported unscaled. The incumbent is *polished*: the fixed-integer QP at its $z$, re-solved at tolerances $10^{-9}$, gives $V$. N2(b) runs Gurobi's barrier and CVXPY's [19] Clarabel and SCS (ECOS is not installed) at default tolerances against Clarabel at $10^{-10}$.

TABLE II
EXPERIMENTS; SOLVES: THE OPTIMIZATION SOLVES IN EACH RUN.

| exp. | instances | varied, arms | solves |
|---|---|---|---|
| C1 | D12 (12 dates); all eligible names; $\alpha_{\text{mom}}$, $\alpha_\perp$, $\alpha_\parallel$ | base mandate, and the idealized mandates (i), (ii); envelope at $\delta = 1\%$ (0.1%) | 108 |
| C2 | D12; all eligible; $\alpha_{\text{mom}}$ ($\alpha_\perp$, $\alpha_\parallel$ on factor families) | one family swept over its grid, the others at base | 2040 |
| I1 | 2009-03, 2017-12, 2020-03; $N = 250$; $f \in \{0.25, 0.5, 0.75\}$ | 4 bounds at $\delta = 10\%$ (also 5% at 2017-12); big-M and rescaled perspective | 288 |
| I2 | 2017-12 ($K = 67$); 2020-03 ($K = 79$); $N = 250$ | sector bound at 41 points on $[0, 2b]$; as I1 | 164 |
| N1 | 2017-12, 2020-03; $N \in \{100, 250, all\}$; $f \in \{0.25, 0.5\}$; 3 tightness levels | big-M, perspective (default scaling, rescaled); presolve off at $N = 250$; 3 reruns | 147 |
| N2(a) | N1 at $N = 250$, base tightness | the N1 arms at $s_{\text{obj}} \in \{1, 10^4\}$ | 24 |
| N2(b) | C1 base at 5 dates | Gurobi barrier, Clarabel, SCS; risk-row normalization and objective scaling on/off; reference | 65 |
| N3 | the N1 instances at default presolve | root only, both perspective arms; MIQCPMethod $-1$, 0, 1 (default scaling also FeasibilityTol $10^{-9}$) | 252 |

### C. Analysis

**A1 (risk budget and mean-variance).** Dualizing only the risk row, with multiplier $\lambda \geq 0$, gives the partial Lagrangian $\alpha^\top w -$costs$-\lambda(w^\top \Sigma w - \sigma_m^2)$; maximizing it over the mandate is mean-variance at $\lambda$. For $\lambda > 0$ its maximizer $w(\lambda)$ is unique ($\Sigma \succ 0$), with volatility continuous, nonincreasing in $\lambda$ and tending to 0 as $\lambda \to \infty$ ($w = 0$ is feasible), so if the volatility at $\lambda_{\min} = 10^{-6}$ exceeds the budget a root $\lambda^*$ exists. There the risk row is tight (primal feasibility, complementary slackness), so $w(\lambda^*)$ satisfies the KKT conditions, which suffice for this convex program: it solves P-RB with multiplier $\lambda^*$. Slater's condition holds ($w = 0$ strictly satisfies the risk row; the other rows are affine), so strong duality holds and, conversely, every P-RB optimum maximizes the Lagrangian at $\lambda^*$ (used in Sec. II-F). Otherwise $\lambda^* \leq \lambda_{\min}$ (the budget is treated as slack) and the solver returns $w(\lambda_{\min})$, feasible and with net alpha within $\lambda_{\min}\sigma_m^2 = 7.5 \times 10^{-11}$ of P-RB's optimum (4 of 36 C1 base solves, all $\alpha_\parallel$).

**A2–A3 (equality case).** With only the rows $Aw = 0$ ($A$ of full row rank), no costs and no other rows, stationarity gives $w^* = \Sigma^{-1} g/(2\lambda)$ with $g = \alpha - A^\top \nu$; $Aw^* = 0$ gives $\nu = (A\Sigma^{-1}A^\top)^{-1} A\Sigma^{-1}\alpha$. If $g \neq 0$ ($\alpha \notin \text{range}(A^\top)$) the risk row binds, so $\lambda = \sqrt{g^\top \Sigma^{-1} g}/(2\sigma_m)$ and $A^*_{\text{eq}} = \alpha^\top w^* = g^\top w^* = \sigma_m \sqrt{g^\top \Sigma^{-1} g}$ ($\nu^\top A w^* = 0$). Divided by the unconstrained $\sigma_m \sqrt{\alpha^\top \Sigma^{-1} \alpha}$, the retained fraction

$\sqrt{g^\top\Sigma^{-1}g/\alpha^\top\Sigma^{-1}\alpha}$ equals TC at $w^*$, and it is at most one by Cauchy–Schwarz in the $\Sigma^{-1}$ metric ($g^\top\Sigma^{-1}g = g^\top\Sigma^{-1}\alpha$, as $A\Sigma^{-1}g = 0$), since $g$ is the $\Sigma^{-1}$-orthogonal projection of $\alpha$ onto $\{v : A\Sigma^{-1}v = 0\}$ along $\mathrm{range}(A^\top)$.

**A4 (alignment).** Let $B$ have full column rank. $B^\top D^{-1}\alpha_\perp = 0$ (the regression residual) gives $\Sigma D^{-1}\alpha_\perp = (D + BFB^\top)D^{-1}\alpha_\perp = \alpha_\perp$, so $\Sigma^{-1}\alpha_\perp = D^{-1}\alpha_\perp$ and $B^\top\Sigma^{-1}\alpha_\perp = 0$, with no assumption on $F$: under the risk budget alone $\alpha_\perp$'s optimum, proportional to $\Sigma^{-1}\alpha_\perp$, has zero factor exposure, and factor bounds $b_k > 0$ have zero shadow price. With $A = B^\top$, $g = \alpha_\perp$: the projection of A2 is unique, and $\alpha_\perp$ satisfies both $B^\top\Sigma^{-1}\alpha_\perp = 0$ and $\alpha - \alpha_\perp = \alpha_\parallel = B\gamma \in \mathrm{range}(B)$ ($\gamma$ the regression coefficients). The cross term $\alpha_\perp^\top\Sigma^{-1}\alpha_\parallel$ vanishes, so $\alpha^\top\Sigma^{-1}\alpha = \alpha_\perp^\top D^{-1}\alpha_\perp + \alpha_\parallel^\top\Sigma^{-1}\alpha_\parallel$, and full factor neutrality retains $\sqrt{1-\varphi(\alpha)}$ of the alpha.

**A5 (envelope).** By Slater's condition (A1) strong duality holds. $A^*$ as a function of the right-hand sides is the perturbation function of a convex program, hence concave, and nondecreasing in each bound because loosening it enlarges the feasible set [12]. Where the multipliers are unique (for example under LICQ), $dA^*/dr_k = \mu_k$, also across nondegenerate active-set changes, where $\mu_k$ has a kink but $A^*$ does not; elsewhere only one-sided slopes exist, as at a cap tie $u = \theta\,\mathrm{ADV}_i/\mathrm{AUM}$. The chain rule gives the family dual of Sec. II-D.

**A6 (perspective tightness).** Over the same $(w, z)$, restricted by the same linking rows, $\zeta \in (0, 1]$ gives $q \geq w^2/\zeta \geq w^2$ (and $w = 0$ at $\zeta = 0$), so with $\lambda^* \geq 0$ the perspective relaxation's risk term is at least big-M's and its value at most big-M's.

**A7 (one-asset toy).** For $\max\, aw - \lambda d w^2$ ($\lambda d > 0$) over $w \in \{0\} \cup [\ell, u]$, $w \leq b$, the value is 0 for $b < \ell$ and jumps at $b = \ell$ by $\max(0, a\ell - \lambda d\ell^2)$, positive iff $a > \lambda d\ell$. Below $\ell$ the true local slope is 0, and so is the fixed-integer dual. For $b < \ell$ the big-M relaxation's slope is $a - 2\lambda d b$ if $b < w^\circ = a/(2\lambda d)$ and 0 otherwise; the perspective relaxation's ($q$ minimized at $z = w/\ell$, so $q = \ell w$) is $a - \lambda d\ell$ if $a > \lambda d\ell$ and 0 otherwise. For $\ell/2 < b < \ell$, $a - 2\lambda d b < a - \lambda d\ell$: where both are positive, big-M's slope is the closer to 0 although the perspective bound is the tighter. A tighter bound need not give a better slope.

**A8 (integer value functions).** The P-MI value $U^*(b)$ is the upper envelope, over support patterns, of concave pieces: nondecreasing by feasible-set inclusion, in general neither concave nor continuous. The relaxation dual is the slope of an upper-bounding concave function, the fixed-integer dual the slope of the active piece, and a re-solve gives a secant across pieces. With $V$ the polished value, $\bar{U}$ Gurobi's final bound and $\bar{U}_{\mathrm{eff}} = \max(\bar{U}, V) + 10^{-6}|V|$, $V \leq U^* \leq \bar{U}_{\mathrm{eff}}$ at $b \pm \delta$ ($\delta$ absolute here, a percentage of $b$ in the experiments) gives the certified interval

$$L = \frac{V_+ - \bar{U}_{\mathrm{eff},-}}{2\delta} \leq \frac{U^*_+ - U^*_-}{2\delta} \leq \frac{\bar{U}_{\mathrm{eff},+} - V_-}{2\delta} = H, \quad (3)$$

with point slope $s = (V_+ - V_-)/(2\delta)$. "Certified" is conditional on $V$'s weights being feasible (the independent checker passes them at $10^{-9}$) and on Gurobi's bound being valid up to the slack, a margin, not a proof (Sec. IV-C reports a counter-case). A case is *certified binding* iff $L > 0$ (unlike *binds*, $e_p \geq 10^{-4}$, in the convex problems); $H < 0$ flags solver error. In I1 and I2 both formulations are solved at every point; $V$ is the larger polished value, $\bar{U}$ the smaller bound, and the *certified gap* is $(\bar{U}_{\mathrm{eff}} - V)/|V|$.

**A9 (scaling).** An absolute tolerance $\tau$ on a quantity of size $m$ is a relative error $\tau/m$; rescaling a row or the objective changes the effective tolerances of an equivalent problem. At an optimum with $\lambda^* > 0$ a held name has $q_i = w_i^2 \in [\ell^2, u_i^2]$ ($q_i$ is minimized, not bounded), so Gurobi's absolute feasibility tolerance $10^{-6}$ is a relative error of up to $10^{-6}/\ell^2 = 0.16$ on the smallest cones, and at most $10^{-6}(u_i/\ell)^2 = 5.8 \times 10^{-4}$ with each cone in its name's bound. These scale a cone residual; they do not bound the objective error. They account for the incumbents' cone violation, with objective effect $\lambda^* \sum_i d_i \max(0, w_i^2/\zeta_i - q_i)$ reported relative to $|V|$, and for certified gaps above MIPGap: the default-scaling N2(a) solves at $s_{\mathrm{obj}} = 10^4$ ended OPTIMAL (4 of 4), not at the WorkLimit, so their gap comes from the cone effect (Sec. IV-C). They do not account for the default-scaling root bound (Sec. IV-C).

### D. Finite differences and noise

The perspective relaxation's slope at $b$ is the central difference $\hat{s} = (R(b + \delta_r) - R(b - \delta_r))/(2\delta_r)$, $\delta_r = 10^{-3}\,b$, of its values $R$: the objective at Clarabel's $(w, \zeta)$ with each $q_i$ set to $w_i^2/\zeta_i$ (0 where $w_i = 0$), so every cone holds exactly. A relaxation fails if its residuals exceed $10^{-8}$ or its duality gap exceeds $\varepsilon = 10^{-9}\max(|R|, |R_{\mathrm{ref}}|)$, $R_{\mathrm{ref}}$ the value at the unperturbed bound. If every stencil value is within $\varepsilon$ of exact, noise moves $\hat{s}$ by at most $\eta = \varepsilon/\delta_r$; the gap test does not prove this premise, so $\eta$ is a noise scale. A relaxation's *gap* at $b$ is $(R - V)/|V|$.

### E. Validation

553 passing tests and logged checks with negative controls confirm the analysis: the QP and the Clarabel QCQP agree on $A^*$ to $1.2 \times 10^{-10}$ and on $\lambda^*$ to $3.8 \times 10^{-8}$ (A1); A2–A3 hold to $8.9 \times 10^{-16}$, the A4 split to $2.1 \times 10^{-16}$; on 202 one-asset toys both formulations match A7 at 8279 grid points to $1.4 \times 10^{-17}$ (3 points within Gurobi's tolerance below $\ell$ excluded); P-MI with $K \geq N$, $\ell = 0$ reproduces P-RB's weights and $A^*$ to $1.5 \times 10^{-15}$ (largest relative error, in the weights). An independent feasibility checker passes every C1 and C2 solution and every polished $V$. Before I1 ran, the slope method passed a check fixed in advance on random toys (0 outside tolerance at 8399 points; 1 failed relaxation excluded) and on 39 pairs of objective scales (0 outside tolerance). At $10 \times s_{\mathrm{obj}}$ the I1 perspective slopes agree within a tolerance fixed in advance at 48 of 48 cases (12 at 2009-03 as an acceptance check, the rest afterwards), moving at most $3.2 \times 10^{-7}$ relative where certified binding ($n = 34$); none of the 240 I1 relaxations failed.

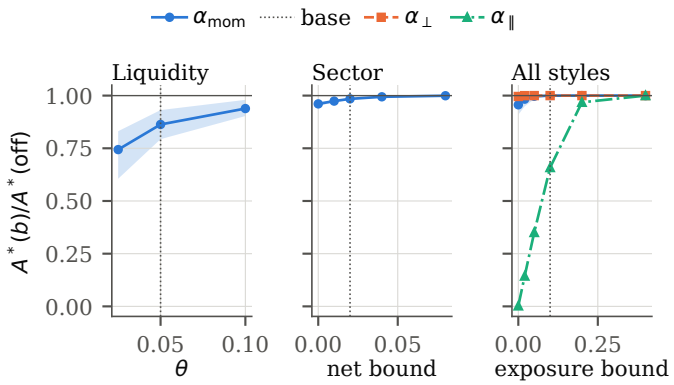



Fig. 1. Cost curves (C2): off = family removed, others at base (dotted: base); $\alpha_{\mathrm{mom}}$ median and interquartile band over D12; all styles also $\alpha_{\perp}$, $\alpha_{\parallel}$.

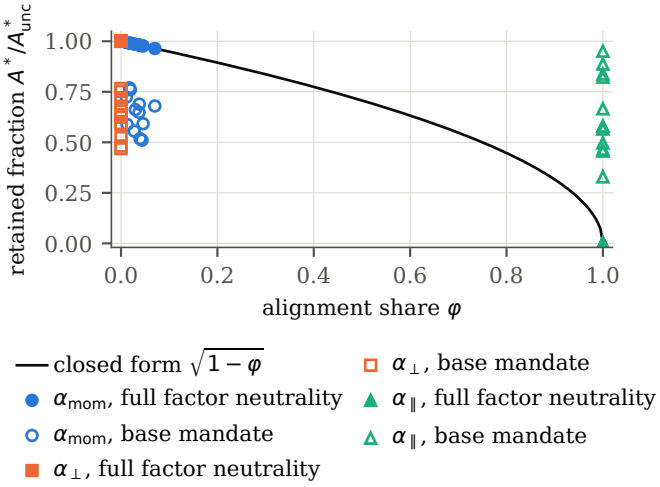



Fig. 2. Retained fraction against $\varphi$ (C1), relative to the unconstrained, costless P-RB; filled: mandate (i), no costs; hollow: base.

## IV. Results

### A. Q1: Constraint Costs in the Convex Problem

*Setup.* C1 and C2 (Table II) at the D12 dates on all eligible names; the criterion is the elasticity $e_p$ from exact duals, validated as derivatives below; statistics are over D12 for $\alpha_{\mathrm{mom}}$ ($n = 12$) unless stated.

*Which constraints bind.* At base, $A^*$ has median 30.5 bp/month (range 22.0–38.3), a median 0.65 (0.51–0.77) of the unconstrained, costless optimum. The risk budget binds in all but 4 of the 36 base solves, all of them $\alpha_{\parallel}$. The liquidity cap binds at all 12 dates (median elasticity 0.16), sector bounds at 12 (0.014), dollar neutrality at 10 ($1.3 \times 10^{-3}$), style bounds at 4 and the position cap at 2; beta and gross bind at none. At the tightest grid points (Fig. 1) the pod keeps a median 0.744 of its alpha at $\theta = 2.5\%$ (range 0.52–0.95), 0.961 under exact sector neutrality, 0.956 with every style exposure at zero and 0.968 with the Mom exposure alone at zero; each other family keeps at least 0.994, the lowest being gross at $G = 1$.

*What determines the cost.* Factor bounds are cheap because $\alpha_{\mathrm{mom}}$ is weakly aligned with the factors: $\varphi$ is 0.011–0.070 over D12, and under idealized full factor neutrality the retained fraction is $\sqrt{1-\varphi}$ (A4), at least 0.964 (Fig. 2). Over the 72 idealized solves, numerical and closed-form $A^*$ agree to $1.6 \times 10^{-14}$ relative ($n = 48$; $3.6 \times 10^{-17}$ absolute at the 24 $\alpha_{\parallel}$ solves where it is zero), and under mandate (i) ($n = 36$) the fractions match $\sqrt{1-\varphi}$ to $1.9 \times 10^{-15}$, or $7.5 \times 10^{-8}$ for $\alpha_{\parallel}$, whose $\varphi$ is within $5.7 \times 10^{-15}$ of 1. $\alpha_{\perp}$ ($\varphi \leq 3.1 \times 10^{-33}$) loses nothing and $\alpha_{\parallel}$ ($\varphi = 1.0$) everything. At the base mandate the $\alpha_{\mathrm{mom}}$ points lie well below the curve: the cost comes from the caps and the costs. Of the base portfolio's gross expected alpha $\alpha^{\top} w^*$, the pod keeps a median 0.80 (0.74–0.84) as $A^*$, pays 0.16 (0.13–0.21) in trading and 0.039 (0.032–0.052) in borrow.

*Duals as derivatives.* At every binding key and D12 date (115 checks over 18 keys) the dual matches the central difference within 1% (largest error $3.1 \times 10^{-4}$) at $\delta = 1\%$ of the bound, or at 0.1% at the 64 flagged stencils (the dual zero at an end, or forward and backward differences more than 1% of the central one apart); along all 312 C2 sweeps $A^*$ is nondecreasing and concave in the bound (0 failures), as A5 predicts.

### B. Q2: Sensitivity under Integrality

*Setup.* I1 (Table II) perturbs 4 bounds by $\delta$ (sector and dollar at 2%, all styles at 0.10, the Mom bound at 0.025): 48 cases, 36 at $\delta = 10\%$. The estimators are the big-M relaxation dual, the perspective relaxation slope and the fixed-integer dual; the baseline (Sec. II-E) is the convex reference. The criterion is $|\hat{\mu} - s|/|s|$ over certified-binding cases, and whether $\hat{\mu} \in [L, H]$.

*Certification.* No interval is violated (0 of 144 points) and the formulations' polished values tie at all 144. At $\delta = 10\%$, 23 of 36 cases are certified binding (sector 9, momentum 6, dollar 5, all styles 3); in the others every estimator is zero (the perspective slope to within $1.4 \times 10^{-11}$). The median relative width $(H - L)/s$ is $3.6 \times 10^{-4}$ ($1.2 \times 10^{-4}$–0.020, $n = 23$): lying in $[L, H]$ means matching the secant to that width.

*Estimator errors.* Table III gives the errors at $\delta = 10\%$ ($n = 23$). The perspective slope has the smallest median error, 0.013 (max 0.82), then the fixed-integer dual, 0.023 (max 0.82), and the big-M dual, 0.073 (max 4.2). Only 4 estimates, all fixed-integer duals, lie in $[L, H]$. The baseline row counts the 24 cases where the baseline's own constraint binds ($e_p \geq 10^{-4}$): the 23 certified-binding cases and 1 more. Its dual is within a median $3.7 \times 10^{-4}$ (max $4.2 \times 10^{-3}$) of its own secant, so integrality, not the step, causes the errors. The errors depend on $\delta$: at 2017-12 ($n = 11$ binding at each step) the medians at $\delta = 5\%$ and 10% are 0.014 and 0.023 (fixed-integer), 0.052 and 0.016 (perspective), 0.24 and 0.073 (big-M).

*When the fixed-integer dual is exact.* Each case is classed by comparing, at $b - \delta$, $b$ and $b + \delta$, the signed support of $V$'s incumbent and the fixed-integer QP's active set: P1, both unchanged; P2, support unchanged, active set changed; P3, support changed. Of the certified-binding cases, 3, 2 and 18

TABLE III
I1 ERRORS $|\hat{\mu} - s|/|s|$ AT $\delta = 10\%$, CERTIFIED-BINDING CASES, BY $f$.

| estimator | $f$ | $n$ | median | max | in $[L, H]$ | med. $(H - L)/s$ |
|---|---|---|---|---|---|---|
| big-M dual | 0.25 | 7 | $2.6 \times 10^{-1}$ | $4.2 \times 10^{0}$ | 0 | $6.2 \times 10^{-4}$ |
| big-M dual | 0.5 | 8 | $1.4 \times 10^{-1}$ | $1.2 \times 10^{0}$ | 0 | $3.2 \times 10^{-4}$ |
| big-M dual | 0.75 | 8 | $1.9 \times 10^{-2}$ | $3.0 \times 10^{-1}$ | 0 | $3.2 \times 10^{-4}$ |
| perspective | 0.25 | 7 | $4.5 \times 10^{-2}$ | $8.2 \times 10^{-1}$ | 0 | $6.2 \times 10^{-4}$ |
| perspective | 0.5 | 8 | $8.2 \times 10^{-3}$ | $1.0 \times 10^{-1}$ | 0 | $3.2 \times 10^{-4}$ |
| perspective | 0.75 | 8 | $8.4 \times 10^{-3}$ | $5.2 \times 10^{-2}$ | 0 | $3.2 \times 10^{-4}$ |
| fixed-integer | 0.25 | 7 | $4.8 \times 10^{-2}$ | $7.8 \times 10^{-1}$ | 1 | $6.2 \times 10^{-4}$ |
| fixed-integer | 0.5 | 8 | $6.0 \times 10^{-2}$ | $8.2 \times 10^{-1}$ | 0 | $3.2 \times 10^{-4}$ |
| fixed-integer | 0.75 | 8 | $5.2 \times 10^{-3}$ | $2.9 \times 10^{-2}$ | 3 | $3.2 \times 10^{-4}$ |
| convex baseline | all | 24 | $3.7 \times 10^{-4}$ | $4.2 \times 10^{-3}$ | – | – |

of 23 are P1, P2 and P3 at $\delta = 10\%$, and 4, 1 and 6 of 11 at $\delta = 5\%$. With fixed support and active set the QP solution is affine in $b$, so the value is quadratic and the central secant is the derivative at $b$. Over both steps, the fixed-integer error is at most $6.7 \times 10^{-12}$ in P1 ($n = 7$), within the relative $10^{-6}$ predicted before the analysis ran, at most $2.9 \times 10^{-4}$ in P2 ($n = 3$), and has median 0.056 in P3 ($n = 24$). The relaxation slopes fail differently: their error rises with the relaxation's gap at $b$ (Spearman rank correlation 0.64 for the perspective, 0.50 for big-M, $n = 23$).

*Value functions.* I2 sweeps the sector bound, the I1 constraint with the largest median point slope over the 9 I1 instances at $\delta = 10\%$: $1.364 \times 10^{-3}$ per unit of weight, against $1.316 \times 10^{-3}$ per unit of loading for the Mom bound, a comparison across units; by median elasticity the Mom bound ranks first (0.027 against 0.020). The P-MI value lies below the baseline value and is not concave: 12 of 39 grid triples at 2017-12 and 9 of 39 at 2020-03 are certified nonconcave, $V(b^{(k-1)}) + V(b^{(k+1)}) > 2\bar{U}_{\text{eff}}(b^{(k)})$, and the support changes between 16 of 40 (2017-12) and 17 of 40 (2020-03) neighbouring grid points. At $0.5b$, $b$ and $1.5b$ ($\delta = 10\%$, $n = 6$; Fig. 3) the median errors are 0.32 (big-M), 0.078 (perspective) and 0.059 (fixed-integer), none in its interval (relative width at most $9.9 \times 10^{-4}$).

### C. Q3: Formulations and Numerics

*Setup.* N1 (Table II) solves the 12 instances per tightness level (loose: styles 0.4, beta 0.2; base; tight: 0.025, 0.0125) with the three arms at MIPGap $10^{-4}$ and WorkLimit $W^*$. The criteria are Work and the root gap after Gurobi's root cut loop, (root bound − best known value)/|best known value|, the best known value being the largest polished $V$ over the instance's arms and presolve settings. Default-scaling results describe how Gurobi treats the unscaled cones (solver behaviour), not the formulation.

*Root gaps and effort.* At default presolve and base tightness the rescaled perspective has the smallest median root gap, $3.3 \times 10^{-4}$ against big-M's $4.4 \times 10^{-4}$ (big-M's is smaller at tight; Fig. 4), and the least median Work at every level (base 0.66 against 1.0); the default-scaling perspective is far behind (0.015; Work 1.2). No solve at default presolve stopped at the WorkLimit. The plain relaxations order as A6 predicts on every instance (0 violations; median margin 0.057 of $|V|$), with median plain gaps 0.059 (big-M) and $1.8 \times 10^{-3}$ (perspective) at base ($n = 12$). Presolve, not the formulation, closes big-M's gap: at $N = 250$ ($n = 12$ per arm), presolve off raises big-M's median root gap from $6.0 \times 10^{-4}$ to 0.057 (plain: 0.060), and 6 of 12 solves stop at the WorkLimit; the rescaled perspective moves only from $4.9 \times 10^{-4}$ to $5.5 \times 10^{-4}$ (median Work 0.766 to 2.28).

*Two mechanisms.* The default-scaling root bound is not the cone tolerance. N3 (Table II) repeats the root of both perspective arms at every N1 instance at default presolve, as root-only runs (*probes*); the default probe reproduces N1's root bound exactly at 36 of 36. Forcing outer approximation (MIQCPMethod 1; the default, −1, lets Gurobi choose) gives the same bound exactly at 29 of 36 (rescaled: 30), consistent with Gurobi choosing outer approximation at most instances; its logs are off, so the choice itself is not recorded. A QCP node relaxation (method 0) lowers the median default-scaling root gap from 0.015 to $5.7 \times 10^{-4}$, below the plain perspective relaxation's $1.9 \times 10^{-3}$ over the same 36 instances, as root cuts allow, whereas the default's root bound is looser than the plain relaxation itself. FeasibilityTol $10^{-9}$ leaves it at 0.015: the ratio of the two gaps has median 0.98, within a factor 2 at 31 of 36 instances. N3 was added after the other experiments had been analysed, to test on all 36 instances what the pilot run had found on a subset of them. The incumbent mechanism is the cone tolerance (A9): at default presolve ($n = 36$ per arm) the default-scaling incumbents violate their cones within tolerance with an objective effect of median $4.6 \times 10^{-4}$ and max $6.4 \times 10^{-3}$ of $|V|$, at most $1.9 \times 10^{-11}$ rescaled. The rescaled arm changes both the rows' scale (divided by $\max_i u_i$) and the cones' scale, so N1 does not separate the two. Every arm's polished value lies within every other arm's $\bar{U}_{\text{eff}}$ (0 failures in 144 pairs).

*Objective scaling.* N2(a) repeats N1's base instances at $N = 250$ at $s_{\text{obj}} = 1$ and $10^4$. At $s_{\text{obj}} = 1$ big-M stops at the WorkLimit in 2 of 4 instances (the others use 2.9–4.7 Work), and the rescaled perspective at 2017-12 with $K = 67$ reported a closed gap while its $\bar{U}_{\text{eff}}$ lay $9.1 \times 10^{-5}|V|$ below big-M's polished value, a false certificate. At $10^4$ no incumbent exceeds another arm's bound (0, against 1), and the default-scaling arm's median certified gap is $1.2 \times 10^{-3}$, above MIPGap $10^{-4}$: its cone effect reaches $4.8 \times 10^{-3}$ of $|V|$, while the rescaled arm's median gap is $9.0 \times 10^{-5}$. In N2(b), P-RB at 2008-10, 2013-06, 2017-12, 2020-03, 2025-04, scaling the objective by $10^3$ cuts Gurobi's barrier errors relative to the reference, worst over the dates and both risk-row normalizations ($n = 10$ each), from $3.1 \times 10^{-5}$ to $7.2 \times 10^{-7}$ in $A^*$ and from 0.057 to $9.5 \times 10^{-3}$ in the binding duals, while risk-row normalization (the risk cone divided by $\sigma_m$, to a unit right-hand side) leaves its $A^*$ identical (10 of 10).

## V. DISCUSSION

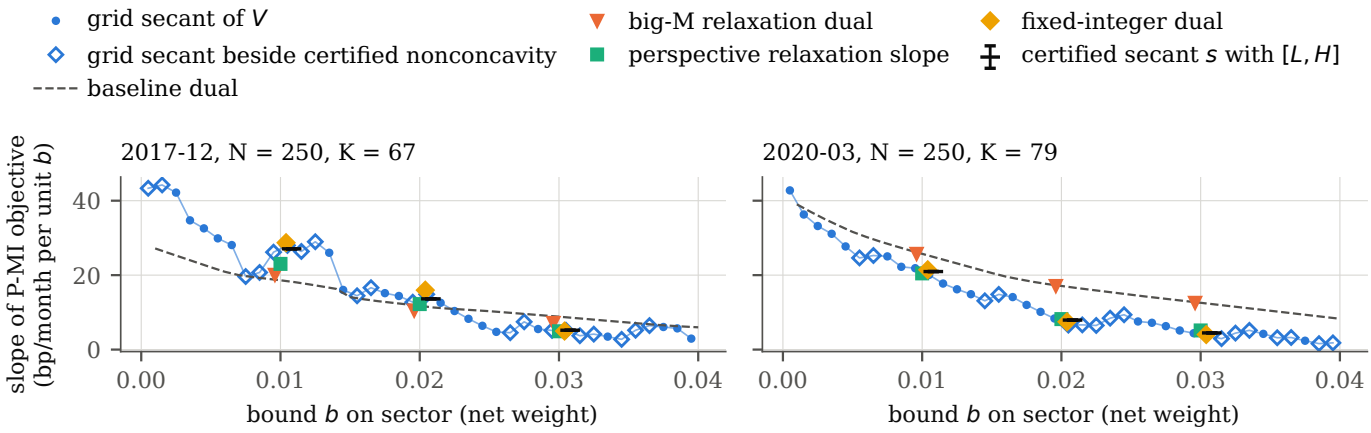



Fig. 3. I2 slopes on the sector bound (250 names; left 2017-12, right 2020-03), P-MI objective per unit of bound: neighbour secants of $V$ (hollow: certified nonconcave), the baseline's dual, and the estimators beside $s$ and $[L, H]$ at $0.5b$, $b$, $1.5b$ (offset).

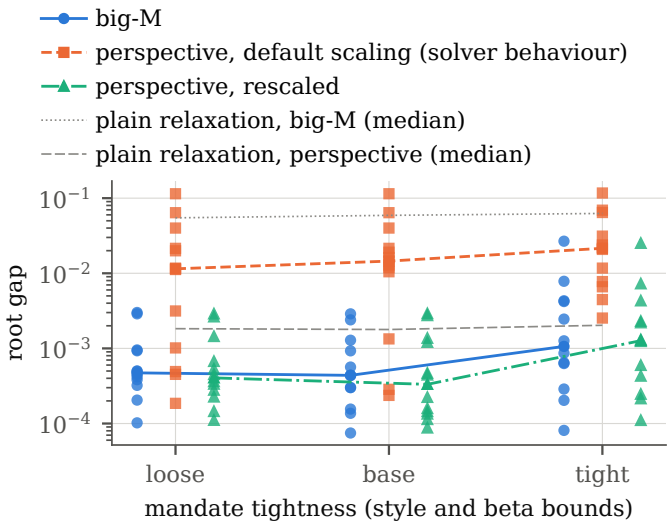



Fig. 4. N1 root gap against tightness, default presolve; $n = 12$ per cell; gray: median plain gaps.

TODO(Isaiah), V, 0.8 page; the coverage list of modeling choices, limitations, trade-offs, unexpected behavior and extensions (claim → evidence):

- Modeling choice, fixed risk budget against fixed $\lambda$: costs at equal risk; mean-variance recovered at $\lambda^*$ (A1) → $3.8 \times 10^{-8}$.
- Modeling choice, $\lambda^*$ fixed within (date, $N$) for P-MI: exact only without integers; the MIQP's volatility falls below the budget (I1 median 2.87%, all 48 of 48 base points below; N1 4 of 36 above), so the Q2 slopes are of the penalized objective → Sec. II, the baseline at 39 of 48 I1 base points on the budget.
- Modeling choices: single period with $w_0 = 0$; the six-factor, 252-day risk model with the residual floor; the momentum construction and winsorization; the base mandate values; the 6% cap and $\ell$ in P-MI; costs as assumptions → Table I.
- Limitations: the disclosures below.
- Trade-off, alpha against exposure: the cost curves → Fig. 1, 0.744, 0.961.
- Trade-off, formulation strength against per-node cost: tighter at the root, but cone nodes → 0.057; median nodes at base 36.5 (big-M), 6.5 (rescaled), 270.5 (default).
- Trade-off, tightness against effort → Fig. 4, 1.1, 0.77.
- Trade-off, tolerance against runtime: MIPGap $10^{-6}$ (I1) against $10^{-4}$ (N1); at $s_{\text{obj}} = 1$ big-M stops at the WorkLimit in 2 of 4 (others 2.9–4.7 Work) → Sec. IV-C.
- What each estimator measures (A8), and why the errors depend on $\delta$ → 0.052 against 0.016 at 2017-12; at $\delta = 5\%$ the P1 maxima are 3.6 (perspective) and 5.4 (big-M), $n = 4$.
- Two failure modes: a support change within the step for the fixed-integer dual (P3 0.056; P1 $6.7 \times 10^{-12}$), and relaxation looseness for the relaxation slopes (Spearman 0.64, 0.50; perspective per class 0.011, 0.014) → Sec. IV-B.
- The I2 near-tie: median secant $1.364 \times 10^{-3}$ (sector, per unit of weight) against $1.316 \times 10^{-3}$ (momentum, per unit of loading), a comparison across units; by elasticity the Mom bound ranks first (0.027 against 0.020); under the perspective slope the order flips, $1.222 \times 10^{-3}$ against $1.306 \times 10^{-3}$ → Sec. IV-B.
- Unexpected: presolve does big-M's root work → $6.0 \times 10^{-4}$ against 0.057; 6 of 12 stopped at the WorkLimit with presolve off.
- Unexpected: the default-scaling root bound is consistent with outer approximation stopping early, not the cone tolerance → 29 of 36, $5.7 \times 10^{-4}$, 0.98.
- Unexpected: the false certificate at $s_{\text{obj}} = 1$ → $9.1 \times 10^{-5}$.
- Unexpected: the risk-row normalization is absorbed by presolve (supported, not proven) → 10 of 10, $1.6 \times 10^{-5}$.
- Unexpected: the hedged legs (in 7 of 45 perspective relaxations the relaxation splits a name into a long and a

short leg to cheapen its cone; 11 name–relaxation pairs, 4 distinct names, the prediction holding at 11); per-leg cones as an extension → 11, 4, 11 (not yet in Results).
- Slope accuracy holds on every I1 case, not only the gated ones → 36 of 36.
- The earlier iteration's lessons in one or two sentences, without numbers: the fixed-risk formulation and the scaling policy.
- Extensions: platform coordination by exposure prices (decomposition); multi-period rebalancing (MPC); robust alpha (SOCP); a Lagrangian bound for the cardinality row.

## VI. Conclusion

TODO(Isaiah), VI, 0.2 page (claim → evidence):

- Q1: neutrality is cheap for a weakly aligned alpha; the liquidity cap, sector bounds and trading costs carry the cost → 0.16, 0.16, 0.964.
- Q2: the fixed-integer dual is exact on a stable support and the best estimator depends on the step → $6.7 \times 10^{-12}$, 0.056, Table III.
- Q3: two mechanisms, outer approximation at the root (inferred) and the cone tolerance at the incumbent; the perspective formulation helps only in the rescaled formulation (rows and cones together), and objective scaling is still needed → $3.3 \times 10^{-4}$, 0.015, 29, $9.1 \times 10^{-5}$.
- Extensions → Sec. V.

## Disclosures and AI-Use Acknowledgment

TODO(Isaiah), disclosures, the eight required items (claim → evidence):

- Universe: current S&P 500 constituents (snapshot 2026-10-16), so survivorship and look-ahead in the universe; GICS sectors are not point-in-time → results/data_report.md.
- Yahoo adjusted data; the JCI and DHR errors masked; a day is valid only with a return and dollar volume of at least $1M, a stock eligible with 80% valid days in its window; 1 multi-session return enters the regressions as a one-day return → results/data_report.md.
- One-pass winsorization leaves $|z|$ above 3: max 5.47 (2024-04), at 240 of 240 month-ends, 1936 of 107592 name-dates → results/disclosures/.
- Single period, $w_0 = 0$; borrow and trading costs are assumptions → Table I.
- No backtest and no performance claims; the alpha is a simple input signal.
- The parameter-setting rules of the design pilot ($s_{\text{obj}}$, $W^*$, the $K$ grids, the I1 constraints) → Sec. III, experiments/configs/integer.yaml.
- The earlier iteration, without numbers.

TODO(Isaiah), AI-use acknowledgment, from docs/AI_USE.md's v2 log (claim → evidence):

- Claude (chat) designed v2 and extracted the repository; proposed most design decisions, check text, design edits and gate notes; sketched derivations; drafted the proposal text and Section I (Decision 62), which Isaiah revises. Isaiah chose among the proposals, edited and signed every gate note, and ran the commands.
- Claude Code, with the result-checker and python-reviewer subagents, wrote and ran the code, tests and checks, built the figures and tables, and drafted Sections II–IV of this report (Mode A); Isaiah revises them and checks the derivations by hand.

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